etc. Taken one at a time, each of these restrictions appears difficult to remove.

But the key is to apply general equilibrium reasoning, and envision the world where *all* of them are removed. In that world, India will use a different set of inputs, produce a different set of outputs, which will have a different set of prices, and India will have a major part in global agricultural trade. We will grow a lot less of wheat and rice (which are capital intensive) and do more fruits and vegetables (which are labour intensive). The overall outcome will be very good for India, but we would not see that if we think of one distortion at a time.

Example 10: Universal basic income

Suppose there is a GDP of Rs 100, and we think that Rs 4 should be used to pay out a 'universal basic income' (UBI) to everyone. Perhaps this fiscal space can be obtained by eliminating existing subsidy programmes and raising the tax rate.

The UBI will, however, play out in general equilibrium. People who get paid a UBI will be less keen to work: the supply curve of labour will be modified and the labour market will clear at some new price. Higher taxes will also result in reduced work, reduced saving and reduced investment. All these markets will interact in general equilibrium.

It is not easy to see the overall outcome that would be obtained. It is, however, a useful caution: we should at least intuitively visualize how the UBI will play out in general equilibrium. [1] The result will diverge from the simple notions about UBI.

Short term versus long term

There is a relationship between the short run vs the long run, and partial equilibrium vs general equilibrium. In the short run, we see the first effects